

Before the
FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 23-02

20230930-DK-BUTTERFLY-1, INC. F/K/A BED BATH & BEYOND INC. v.

ORIENT OVERSEAS CONTAINER LINE LIMITED AND OOCL (EUROPE) LIMITED

**COMPLAINANT'S OPPOSITION TO RESPONDENTS' OPPOSED MOTION TO
REOPEN DISCOVERY**

Complainant 20230930-DK-Butterfly-1, Inc., formerly known as Bed Bath & Beyond Inc. (“BBBY” or “Complainant”), by and through its undersigned attorneys, respectfully submits this opposition to Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited’s (together, “OOCL” or “Respondents”) motion to reopen discovery (the “Motion”) filed in this proceeding on December 9, 2025.

As an initial matter, OOCL’s Motion is a near carbon-copy of a similar motion filed by another ocean carrier, Yang Ming Marine Transport Corp. (“Yang Ming”), in a separate action before the Federal Maritime Commission (the “Commission” or “FMC”) involving BBBY as Complainant. *See Bed Bath & Beyond Inc., v. Yang Ming Marine Transport Corp.*, FMC Dkt. No. 23-10, Dkt. 67 (Nov. 13, 2025) (the “YM Motion”). **First**, this attempt fails on its face because on December 12, 2025, Administrative Law Judge Crovella entered an order in the Yang Ming action, finding the relief requested by the YM Motion “premature” in light of the significant discovery undertaken by the parties in that proceeding, the respondent’s delay in filing that motion, and holding that motion in abeyance pending a liability determination. Order Holding Respondent’s Motion to Reopen the Record and Supplement Briefing in Abeyance, FMC Dkt. No. 23-10, Dkt. 72 (Dec. 12, 2025) (the “YM Abeyance Order”).

Second, the Motion fails to proffer *any* new evidence that could conceivably contradict BBBY’s presentation of damages to warrant a reopening of the record, and instead relies (improperly)¹ on Yang Ming’s whole-cloth arguments in the YM Motion, which are inapposite to

¹ Complainant draws the Presiding Officer’s attention to Respondents’ gamesmanship in attaching Yang Ming’s briefs on the YM Motion as exhibits, thereby circumventing the Commission’s page limitations. *See* Mot. at 2. Under the Commission’s Rules, the page limit for any non-dispositive motion is “10 pages, excluding exhibits or appendices, without leave of the presiding officer.” 46 C.F.R. § 502.71. Respondents’ attempt here to circumvent the Rules by attaching a non-party’s legal arguments as exhibits and purportedly incorporating such arguments by reference is improper under the Rules and warrants striking the exhibits to Respondents’ Motion, especially given Respondents’ decision to *omit* Complainant’s opposition brief from its attachments. *See* FMC Dkt. No. 23-10, Dkt. 69 (Nov. 13, 2025)

the present action and fail to provide *any* explanation to cure OOCL's own failures to inquire into BBY's reparations calculations during the extremely extensive discovery conducted in this action.

On the merits, OOCL's Motion must be denied because (1) OOCL fails to identify *any* evidence regarding BBY's reparations methodology that would constitute a material change in law or fact or was withheld or otherwise unavailable during discovery and briefing justifying a reopening of the record, (2) OOCL thus cannot even argue that such non-existent evidence *would* affect the outcome of this matter, much less *how*, and (3) to the extent that OOCL seeks discovery into confidential settlement communications, such inquiry is patently prohibited.

PROCEDURAL HISTORY

As the Presiding Officer knows, discovery in this action was extensive and protracted. The parties moved to extend the discovery schedule four times between their first request on August 4, 2023, and their last on June 28, 2024, and then moved to extend page limits for briefs and the briefing schedule. Discovery in this proceeding closed on November 10, 2024. The parties submitted proposed findings of fact and extensive briefing on the merits of the parties' positions between December 2024 and April 2025.² On December 9, 2025, *over a year after* the close of discovery and *eight months after* the record closed, OOCL now seeks to reopen discovery and supplement the record based on speculation (itself based solely on the meritless claims in the YM Motion) that BBY *may* have claimed damages based on some of the same shipments in multiple parallel proceedings. Mot. at 1-2.

LEGAL STANDARD

The Commission's Rules of Practice and Procedure require that every motion must "state clearly and concisely the purpose of and the relief sought by the motion, the statutory or principal

² On March 31, 2025, the parties were ordered to refile a joint motion for confidential treatment and to resubmit both public and confidential versions of their briefs and supporting documents by April 28, 2025.

authority relied upon, and the facts claimed to constitute the grounds supporting the relief requested”. 46 C.F.R. § 502.69(e). In order to reopen discovery, the moving party must “set forth the grounds requiring opening of the proceeding, including ***material changes of fact or law alleged to have occurred.***” 46 C.F.R. § 502.230(b) (emphasis added). Critically, submitting evidence that was ***already provided to the moving party*** is not grounds for reopening the proceedings. *See Rose Int’l, Inc. v. Overseas Moving Network Int’l, Ltd.*, FMC Dkt. No. 96-05, 2001 WL 865708, at *41 (FMC June 1, 2001) (Report and Order Adopting Initial Decision in Part and Vacating Initial Decision in Part) (request to reopen the record must “fail” where evidence was available before discovery closed and movant failed to explain any material changes of fact or law). Furthermore, evidence is “material” only if there is a reasonable probability that it will change the outcome. *Green Master Int’l Freight Serv. Ltd. - Possible Violations of Section 10(a)(1) and 10(b)(1) of the Shipping Act of 1984*, FMC Dkt. No. 01-10, 2003 WL 1016920, at *20 (FMC Feb. 28, 2003) (Initial Decision) (“material fact[s]” are facts that might “affect the outcome” under “governing law”) (citing *Gonzalez v. Torres*, 915 F. Supp. 511, 515 (D.P.R. 1996)).

As to reparations, “the proper measure of damages is not reduced to one simple formula, but must be evaluated on the individual facts of the case and calculated in order to make the injured party whole.” *Kobel v. Hapag-Lloyd A.G.*, Dkt No. 10-06, 2014 WL 5316331, at *14 (ALJ July 30, 2014) (Remand Initial Decision), *aff’d*, 2015 WL 3465821 (FMC May 26, 2015). In *MCS Industries, Inc. v. MSC Mediterranean Shipping Co. SA*, the Commission affirmed the Chief ALJ’s decision to reject Mediterranean’s “excessively high standard of proof” and its “claims that MCS had to tie each spot shipment to a prior request that Mediterranean carry the shipment and to show that each spot shipment could not have been made any other way.” FMC Dkt. No. 21-05, 2024 WL 3514613, at *8 (FMC July 16, 2024) (Order Affirming Initial Decision on Remand).

ARGUMENT

I. OOCL Fails to Identify Any Evidence That Was Unavailable to It During Discovery.

Discovery can only be reopened if there was an impediment to OOCL's ability to inquire into material matters during the discovery period. OOCL *does not even attempt* to claim that anything potentially impeded its ability to fully inquire into BBY's reparation methodology or the question of which shipments sent on a spot-market basis were used to calculate the additional incremental cost of shipping cargo for which OOCL failed to provide space pursuant to its service commitment to BBY. Instead, OOCL merely uses the Motion to rehash meritless points previously raised in its Motion to Exclude the Testimony of John D. McCown and answering trial brief.³ OOCL's repetitive and inapposite recitation of those arguments provides no basis here for the relief requested by the instant Motion, and instead underscores that *all of OOCL's arguments were fully available to it during trial briefing*.

First, multiple discovery and briefing extensions were granted, and the deadlines to issue the Initial Decision and the Commission's Final Decisions were extended three times before the October 1, 2025 lapse in government appropriations affected the issuance of the Initial Decision. Reopening the record more than a year after the close of discovery and eight months after the record closed is "not efficient." YM Abeyance Order, at 2.

Second, OOCL deposed Mr. McCown on October 21, 2024, *after all other fact discovery had already concluded* and sixteen months after OOCL served their first interrogatories on June 13, 2023. Thus, even crediting the patently false idea that BBY did not accurately outline its reparations methodology for OOCL and the Presiding Officer, it is not plausible that BBY could

³ OOCL's arguments are substantively meritless, as set forth in BBY's revised Reply to Respondents' Opposition Brief (*see* FMC 23-02, Dkt. 136 (April 29, 2025) at 58-65) and Opposition to Respondents' Motion to Exclude the Testimony of John D. McCown. *See* FMC 23-02, Dkt. 122 (March 20, 2025).

have prevented OOCL from inquiring into these issues during the rest of the discovery period. If OOCL had concerns regarding the use of particular spot-market shipments in damages calculations in other pending actions, or otherwise wished to understand better the methodology propounded by BBY, it could and should have done so during fact discovery. Clearly, it did not.

Third, as outlined below, BBY's interrogatory responses and briefing in this action made clear *exactly* how it calculated its claimed reparations and, in doing so, cited to the record which contains *all* containers shipped by BBY, including a breakdown of whether such containers were shipped by NVOCCs and the ship dates and ocean freight rates for such cargo. OOCL's failure to ask about a subject that was plainly available for inquiry during the discovery period does not merit the reopening of discovery more than a year later.

Fourth, OOCL has the burden of proof on its Motion, and nothing presented by OOCL within Mr. McCown's testimony in this case warrants reopening discovery into issues that could have been addressed through diligent investigation by OOCL during the discovery period. OOCL points to no question posed by it during Mr. McCown's deposition in this case that asked Mr. McCown how any shipments selected in the reparations calculations as to OOCL related or did not relate to calculations with respect to *any other* carriers with which BBY had service contracts during the same time period. Rather, Mr. McCown clearly outlined the methodology, and his report directly cites the sources of material for his analysis, showing container-level data with associated ocean freight costs and port pairs. Those sources are drawn from documents produced in this proceeding from BBY's own records, which OOCL's counsel had the opportunity to, and did, inquire about during both fact and expert depositions. To the extent that OOCL is focusing on whether Mr. McCown had any information "as to whether any of the NVO shipments correlated to OOCL's alleged denials of a BBY booking request," Mot. at 3-4, this is irrelevant to Mr.

McCown's opinions, as he testified that "OOCL did not perform, you know, on a very basis service contract metric. [BBBY] had to go out and get the space. They had an incremental cost in all cases." McCown Depo. Tr. 140:11-15 [APP-1471], Revised Complainant's Appendix to Opening Brief, Dkt. 130 (Apr. 29, 2025). In any event, any questions about BBBY's methodology could and should have been addressed *during* discovery, instead of waiting until well after the end of both discovery and trial briefing. To the extent OOCL had any questions about such methodology, whether as stated by Mr. McCown or otherwise disclosed during discovery, OOCL should have resolved them in depositions or through written discovery. Simply failing to inquire into a subject at issue cannot possibly be sufficient due diligence to merit reopening discovery.

Fifth, all of the documentation necessary for OOCL to have asked Mr. McCown about the basis for BBBY's reparations calculations at the appropriate time was produced to OOCL well in advance of Mr. McCown's deposition, but OOCL *entirely failed* to ask such questions. As set forth in the Declaration of J. Lee Hill, dated March 20, 2025 (Dkt. 121) (the "Hill Declaration"), Mr. McCown's report set forth the documents relied upon for BBBY's reparations calculations. (*Id.* at ¶ 12.) Further, BBBY's responses to OOCL's Interrogatory No. 1, which had asked BBBY to "identify all containers by container number about which you complain of a refusal to carry or denial of a booking by Respondents", BBBY initially answered that "Complainant intends to produce in discovery in this action documents and information concerning the containers of Complainant's cargo that form the basis of Complainant's claims for reparations, such as cargo carried by other carriers at higher rates. . . ." and supplemented its response "by referring Respondents to Appendices A-1 through A-4 and Appendices B-1 through B-4 of the Expert Report of John D. McCown, dated September 17, 2024, and documents bates stamped P-0000810432 [APP-4419] and P-0000353819 [APP-4414]". (*Id.* at ¶ 5.) OOCL completely failed

to ask Mr. McCown about the relevance of any of these documents. Nonetheless, BBY explained the import of these documents during briefing in this proceeding:

The Expert Report of John McCown (“McCown Report”) cites to both P0000353819 and P-0000810432 as Sources Considered (and indeed were the only two documents listed from the productions in this proceeding in the Sources Considered list that were not deposition exhibits), and the two documents, combined, represent the sources of data for Appendices A-1 through A-4, Appendices B-1 through B-4, and Appendix C of the McCown Report.

(*Id.* at ¶ 12.)

For these reasons, Mr. McCown’s testimony did *not* impede OOCL’s ability to inquire into these matters during the discovery period or to seek additional discovery regarding these relevant documents before the present Motion. Rather, OOCL chose not to use any deposition questions, interrogatories, requests for production, or requests for admission to inquire as to whether or how shipments of BBY cargo might have figured in the reparations analysis in more than one case. OOCL fails to offer *any* evidence that could constitute a purported impediment to inquiring into these matters during the discovery period. OOCL has therefore failed to show that the discovery it now claims to seek was unavailable before discovery closed. Thus, the Motion must be denied.

Sixth, OOCL’s Motion contains a fatally overbroad and undefined request for relief, which fails to explain how its requested reopened discovery would be limited to or tailored for the asserted (generalized) purpose of “vetting BBY’s claimed reparations to recover freight payments for the same shipments from multiple parties”. Mot. at 1. As such, granting the Motion would only cause substantial delay and waste party and judicial resources in this action. *Accord* YM Abeyance Order.

II. OOCL Fails to Identify Any Evidence That Would Impact This Proceeding’s Outcome.

OOCL improperly incorporates Yang Ming’s “double recovery” argument into its Motion, Mot. at 3, but nowhere asserts that BBY has made even a single recovery. An issue “is not ripe

for adjudication if it rests upon contingent future events that may not occur as anticipated, or indeed may not occur at all.” *Endeley v. United States Dep’t of Def.*, 268 F. Supp. 3d 166, 175 (D.D.C. 2017); *accord* YM Abeyance Order. Because BBY to date has not recovered **anything** on its claims in the other pending proceedings cited by OOCL, there is no risk of double recovery unless and until **two separate** contingencies **both** occur. This clearly renders the issue unripe and not fit for adjudication. “The doctrine’s purpose is to prevent the courts, through avoidance of premature adjudication, from entangling themselves in abstract disagreements” *Belmont Abbey Coll. v. Sebelius*, 878 F. Supp. 2d 25, 37 (D.D.C. 2012) (internal quotation marks omitted). Here, without any tribunal having awarded reparations or damages to BBY in connection with the claims cited by OOCL, there is no basis for OOCL to argue whether particular reparations calculations rightly or wrongly take into account particular shipments of BBY cargo.

Even assuming that BBY’s proposed methodology for calculating damages were to be adopted both in this case and others, it does not necessarily follow that a double recovery would ensue. As explained in *MCS Industries*, asking BBY “to tie each spot shipment to a prior request that [OOCL] carry the shipment and to show that each spot shipment could not have been made any other way” would improperly create an excessively high standard of proof. 2024 WL 3514613, at *8. BBY is not seeking improper double-damages based on such replacement shipments, but rather using “the differentials between its service contract rates and the spot market rates it paid for the shipments reflected in its evidence as a measure of its damages”, which the Commission confirmed “was an appropriate way to measure damages in this context.” *Id.* at *15.

OOCL, by “adopt[ing] Yang Ming’s recitation of the FMC’s applicable Rules and caselaw authority. . . and incorporat[ing] Yang Ming’s discussion herein by reference”, Mot. at 2, attempts to support its argument by misapplying the facts and holding in *TCW, Inc. v. Evergreen Shipping*

Agency (America) Corp., FMC Dkt. No. 1966(I), 2021 WL 794708, at *28, *31 (FMC Small Claims Officer Feb. 19, 2021) (Initial Decision). In that case, the Small Claims Officer awarded reparations to TCW but ordered TCW to return a similar amount to non-party BCO Yamaha, because Yamaha had already refunded TCW the per diem payments at issue in the claim and did not act as Evergreen’s agent in making that refund. That situation has nothing in common with the purported “double recovery” issues here, where BBY has not received any relevant refund. Regardless, a case relating to per diem charges is irrelevant to the calculation of reparations for systematically failing to provide cargo space under a service contract or the use of spot-market replacement shipments in such calculations.

Additionally, to the extent that some individual containers may overlap in BBY’s present analyses with respect to OOCL, Evergreen, and/or Yang Ming, it was already obvious from BBY’s disclosed reparations methodology and the documents produced in discovery in this litigation that P-0000810432 and P-0000353819 contained ocean freight charges from NVOCCs during the same time period and on the same lanes as covered by the parties’ Service Contract for *so many* containers that the cargo space shortfalls of OOCL, Yang Ming and Evergreen could *all* be tied to *unique, non-duplicative* replacement shipments. *See* Revised Complainant’s Appendix to Opening Brief [APP-4419, APP-4414], Dkt. 130 (Apr. 29, 2025). For these reasons, reopening the record would not lead to evidence that could impact the outcome of this case. Thus, the Motion should be denied.

III. Inquiry Into Settlements, As Requested By OOCL, Is Patently Prohibited.

There is a strong public policy of favoring settlements and, by enacting Federal Rule of Evidence 408, Congress furthered that policy “by insulating the bargaining table from unnecessary intrusions”. *Bottaro v. Hatton Assocs.*, 96 F.R.D. 158, 160 (E.D.N.Y. 1982). Federal courts have

consistently denied production of confidential settlement agreements and negotiations when the only argument in support of disclosure is the agreement's relevance to damages. *See, e.g., Bottaro*, 96 F.R.D. at 160 (discovery into terms of confidential settlement agreement "based solely on the hope that it will somehow lead to admissible evidence on the question of damages" denied); *In re Flat Glass Antitrust Litig.*, No. 11-658, 2013 WL 1703864, at *1-2 (W.D. Pa., April 19, 2013); *Doe v. Methacton Sch. Dist.*, 164 F.R.D. 175, 176–77 (E.D. Pa. 1995) (broad assertion that confidential settlement agreement relevant to issue of damages not sufficient to compel production). If a party establishes that disclosure of requested information could "thwart desirable social policies," the requesting party "will be required to demonstrate that its need for the information, and the harm that it would suffer from the denial of such information, outweigh the injury that disclosure would cause either the other party or the interests cited by it". *In re Auto. Parts Antitrust Litig.*, No. 12-MD-02311-MOB-MKM, 2017 WL 11535873, at *4 (E.D. Mich. June 19, 2017) (quoting *Apex Oil Co. v. DiMauro*, 110 F.R.D. 490, 496 (S.D.N.Y. 1985) (declining to compel production of settlement agreements)). Here, to the extent that OOCL seeks a waiver of confidentiality in order to inquire about the settlement negotiations BBY may have had with other ocean carriers for similar alleged misconduct, OOCL utterly fails to establish that the need for disclosure of BBY's confidential settlement negotiations and/or agreements outweighs the unnecessary intrusion that such disclosure would cause.⁴

CONCLUSION

For the foregoing reasons, BBY respectfully requests that the Presiding Officer deny OOCL's Motion to reopen discovery.

⁴ Given OOCL's apparent copying of Yang Ming's tactics in connection with the YM Motion, BBY notes that Rule 71(c) of the Commission's Rules of Practice and Procedure, 46 CFR § 502.71(c), does *not* allow for the filing of reply briefs on non-dispositive motions except upon a showing of "extraordinary circumstances", and BBY would oppose any request for a reply brief in connection with the Motion.

Dated: December 16, 2025

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Certificate of Service

I hereby certify that I have this day caused to be served the foregoing document upon Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited by emailing a copy to their counsel of record listed below:

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